Balancing Tradition with Instant Delivery: Patanjali's Strategic Dilemma Between Arogya Kendras and Quick-Commerce

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Abstract

Patanjali started in 2006 based on the ideas of Yoga and Ayurveda Patanjali has become a company that makes everyday products. Since then, they have expanded in all kinds of products like food, personal care and home goods. It has a network of physical stores including thousands of Arogya Kendras, Chikitsalayas and over two million places where people can buy its products all across India. Now the fast growth of quick commerce grocery delivery in big cities in India is making things harder. Discounts through apps are making it hard for older franchisees to keep up because they can't offer the low prices online. At the same time Patanjali is trying to reach younger city customers who care about knowing what is in their products and getting things delivered right to their door. If you look at how the different stores make money selling the products everywhere just moves customers from physical stores to online and that doesn't really help the business grow. It also takes away the help and trust that people get from real stores that focus on wellness. Of giving up on the stores to get quick deliveries Patanjali needs a clear plan to mix online and offline ways. Arogya Kendras should become places where people can talk to experts try products and get advice, about health. Delivery apps should only handle restocks with different sizes and fair prices. If Patanjali follows this plan over three years and watches how customers move and how much money is made it can connect with people who want service without hurting the stores that helped build the brand.

Keywords: *Patanjali, Quick-Commerce, Omnichannel Segmentation, Channel Conflict, Arogya Kendras, Ayurvedic FMCG, Retail Distribution Strategy*

Patanjali's Business Evolution and Traditional Distribution Network

Patanjali Ayurved was formed in 2006 on the principle of Yoga, Ayurveda and health. The official profile of the company describes authorised Patanjali stores and retail stores as important components in reaching out to consumers. [1] In research on the distribution process followed by the company, Swadeshi Kendra, Arogya Kendra and Chikitsalaya were found to be important aspects of its exclusive retail distribution system. [2]

The function of such outlets was not limited to simply distributing products. Dedicated stores provided an opportunity to the company to introduce their products and give the customers knowledge regarding Ayurveda and wellness. Chikitsalaya could connect customers with Ayurvedic doctors as well. On the other hand, general trade was helpful to the company in reaching its consumers through their stores.

Patanjali grew from being a relatively focused Ayurveda company to cover food, personal care, home care and wellness segments. Patanjali Foods is currently active in food and FMCG, edible oils, home and personal care and others segments. [3]

The company is also significant in terms of revenue. Patanjali Foods reported revenue from operations of around ₹40,170 crore in FY2025-26. However, this figure includes its large edible-oil business and should therefore not be seen as the size of Patanjali's branded FMCG business alone. [4] This distinction is important in terms of channel economics since different categories have different margins, levels of competition and reasons for purchase.

A toothpaste bought through quick commerce is not necessarily economically equivalent to a large edible-oil pack. Likewise, a low-priced personal-care product may be very sensitive to discounts while a specialised wellness product may rely more on explanation and consumer trust.

Patanjali is therefore not starting its digital journey from scratch but has a large physical system, established retailer relationships and significant distribution investments. The question is how this system can co-exist with new channels without creating unnecessary conflict.

The Evolving Indian Retail Landscape

Indian FMCG retail is growing more fragmented. Consumers can buy the same product from their local shop, from a supermarket, a modern retail chain, an e-commerce website, a brand's own platform or quick-commerce apps. Hindustan Unilever's FY2024-25 annual report also describes a retail environment where general trade, modern trade, e-commerce and quick commerce are becoming important elements. [5]

The change can be seen most clearly in big cities. NIQ reported that during October-December 2025, e-commerce accounted for 18% of FMCG sales in India's top eight metros, while quick commerce contributed more than three-fourths of e-commerce FMCG sales. [6] NIQ's 2026 analysis also found increasing use of quick commerce for everyday FMCG and household replenishment. [7]

The move is not merely about the speed of the service provision process. While purchasing from a traditional store, the customer gets to see the product, talk to the salesperson and ask questions before the final decision is made. On the quick-commerce app, all this can be done in a matter of minutes. The consumer searches for

the product, finds the comparisons, the ratings, pricing, sees an offer and makes an order.

For Patanjali, this is extremely important because the Ayurvedic philosophy is built on trust and explanations. On a digital medium, the initial impression that the consumer gets from the product might consist of nothing more than a picture, name, price, rating and some brief information. The company should think about which part of the old product-educational process could be adapted to digital media.

The Quick-Commerce Challenge and Channel Conflict

Quick commerce has experienced considerable growth due to the substantial amount invested in the dark stores and logistics. For example, Blinkit recorded 1,301 stores by March 2025, and its CFO stated that the company's stores are situated within two to three kilometers from a client's location. [8] However, Swiggy Instamart became present in 124 cities from 27 in FY2024-25, while dark stores increased twice, reaching four million square feet. [9] Besides, it should be mentioned that Zepto also registered a considerable growth by scaling up many products of Patanjali, which consists of over one hundred items. [10]

It is beyond question that the use of quick commerce will provide many benefits for Patanjali because the products of the company can reach more clients than they could access using Arogya Kendra. Furthermore, quick delivery of convenience products will help to attract more clients and increase the product's discoverability. The only potential threat is that this type of distribution will negatively impact the sales of other company units.

Indeed, Reuters notes that Blinkit, Zepto, and Instamart engage in a fierce competition through aggressive pricing, free delivery, and an extended presence across the country, which has resulted in reduced profits. [11] In this case, it is essential to understand that a customer will always consider the final price, which means that traditional retailers cannot meet the promotion rates of digital ones due to the expenses associated with running a physical store. [11] The conflict erupts when the same goods offered at substantially different prices appear in different retail outlets. A customer who discovers that their regular store charges more for the same Patanjali product as a quick-commerce store loses loyalty to the traditional retailer. In other words, such a customer will perceive the application’s price as normal and will be willing to purchase the same goods there instead of the local store.

It does not mean that a local Arogya Kendra is not beneficial for Patanjali, as physical interaction with the buyer enables a human touch that is impossible with an online store. The issue is that the company’s offline and online sales channels compete intensely, and Patanjali needs to prevent the rivalry to avoid destructive pricing policies.

Balancing Quick-Commerce Growth with Traditional Franchisee Interests

The wider retail market is already showing signs of concern over the discounting of quick commerce. In March

2025, the All-India Consumer Products Distributors Federation complained to the Competition Commission of India about alleged deep discounts and unfair pricing by Blinkit,
Zepto and Instamart. Reuters reported that the federation represented about 400,000 distributors and argued that local retailers were unable to match some online prices. [12]
A Datum Intelligence survey mentioned in the same reporting found that 46% of quick-commerce shoppers had reduced purchases from small independent stores, and 36% had reduced purchases from supermarkets. These figures describe the wider retail market, and should not be used to infer an equivalent decline in Patanjali's traditional sales. [12]
There is no comparable public data showing how much Patanjali franchises have lost due to quick commerce. The concern should therefore be treated as a strategic risk and not a percentage loss.
One of the most important questions for Patanjali is whether digital sales represent new demand or simply a shift from one channel to another. If a consumer who had never purchased Patanjali started ordering the brand through Zepto, the company would have gained a new customer. But if a customer who previously bought the same product at an Arogya Kendra moved to quick commerce, but only because the online price was cheaper, the company would have changed the route of purchase, but not created additional demand.
It makes digital revenue an incomplete measure of success. Patanjali would need to consider product cost, distributor or retailer margin, platform commission, promotional spending, logistics, claims and customer acquisition costs to decide whether the digital sale was actually an attractive one.
The management question is then more complicated than "How much are digital sales growing?" It is "How much profitable and incremental demand are digital channels creating without damaging the economics of the existing network?"

Attracting the Next Generation While Preserving Patanjali's Traditional Identity

The second challenge relates to younger consumers and how they discover brands. Google's India Gen Z research found that 79% of Gen Z consumers use Google and/or YouTube every day while BCG and Snap estimate that Gen Z is responsible for around 46% of consumer spending in India. [13] [14]
Young consumers are also transforming thinking about wellness. Mintel's 2025 India Beauty and Wellness research identifies Gen Z as an important force in experience-led beauty and highlights interest in holistic wellness, effectiveness and experience. [15] NIQ similarly identifies growing interest in ingredients, transparency, trust and digital discovery. [16]
At the same time, awareness of Ayurveda itself does not seem to be the issue. Government survey data reported AYUSH awareness at around 95% in rural areas and 96% in urban areas in 2022-23. [17]
The more challenging issue is product choice. A younger consumer is likely to want to know what an ingredient does and what benefit the product offers, whether it works, how it should be used and why the brand should be trusted. This means Patanjali may need to communicate Ayurveda more practically and accessibly, focusing on clear explanations of ingredients, benefits and product usage.

Transforming Ayurveda for Contemporary Consumers

Patanjali enjoys the benefit of having a legacy in the minds of consumers in the form of the concept of Ayurveda. However, this may not always help drive a younger consumer to buy the brand's offerings.

Himalaya serves as an example of how the heritage of traditional knowledge can be given a new lease of life. Its positioning reflects that of "contemporizing Ayurveda" and "Ayurveda meets science." [18] Patanjali does not need to copy its rival's strategy in this sense. Positioning can be done through the same line by catering to the consumers' current interest in the ingredients, functionality, effectiveness, and wellness.

This can be seen in cases like those of the oral care, personal care, skincare, personal wellness, nutraceuticals, and wellness foods product lines in Patanjali. Patanjali has been focusing on the development of the nutraceuticals category with an emphasis on prevention and wellness. [19]

The whole task of positioning can be reduced to answering a couple of questions posed by the consumer with the appropriate answer in mind. Why this herb/extract? What it can do for them? Why they should believe in Patanjali? Why choose Patanjali among others?

The young consumer in most cases will first come across the product online. A Google search, social media, or word of mouth will bring the consumer to the company's website. It must deliver on the promise of educating the consumer in the same way the sales executive in a retail store could have.

Competitor Landscape

Patanjali's competitive set depends on the product category. It is not competing only against Ayurveda-focused firms.

Dabur brings together a strong Ayurveda image with a wide FMCG product portfolio. Its annual report for FY2024-25 notes 8.4 million retail outlets, with e-commerce up 30%, modern trade up 11.2% and quick commerce within e-commerce up 74%. [20]

Himalaya has positioned itself around modern Ayurveda and scientific validation. [18] Hindustan Unilever presents another useful case, as it has continued to support traditional retail outlets while expanding modern trade, e-commerce and quick commerce. Its report for FY2024-25 describes a "kirana-centric, distributor-inclusive" model. Its Shikhar platform had more than 1.4 million retailers onboarded, with the company also expanding its quick-commerce assortment. HUL further added that nearly half its packs were intended for particular channels. [5]

For Patanjali, this suggests that omnichannel retail does not necessarily mean that traditional stores are to be replaced. One way to reduce channel conflict is to offer different channels different assortments, pack sizes and roles.

The competitive set can therefore be considered qualitatively. Patanjali has strong Ayurveda association, broad FMCG reach and growing digital capabilities. Dabur has strong Ayurveda positioning and wide retail reach, while Himalaya brings together Ayurveda with a relatively modern wellness proposition. HUL has very high

retail reach and strong modern-retail and digital capabilities. Emami is also strong in selected natural and wellness categories. The above are qualitative and cannot be treated as audited market-share rankings. [5] [18] [20]

Strategic Alternatives

Patanjali has several possible ways to respond to the changing retail environment.

• For a Traditional-Channel-First approach, the economics of Arogya Kendras and general trade become the priority. It would ensure retailer confidence and reduce channel conflicts but the brand would become less relevant to consumers that increasingly use digital channels.

• The Digital Growth First approach will make digital commerce and quick commerce a higher priority. In return for better reach of urban consumers, product discovery, and convenience, the company will have to deal with higher promotional pressure and potential margin reduction.

• For an Omnichannel Segmentation approach, each channel will play a distinct role. Arogya Kendras will focus on trust and education, general trade will be about daily availability, modern retail about visibility and range, quick commerce about convenience and replenishment, e-commerce about bundling and education, while D2C about customer relationships and loyalty.

• The fourth approach is that of a Youth-Aware Ayurveda Transformation. While Patanjali will keep its traditional positioning intact, it will transform how this positioning is communicated to the consumers.

The options are not mutually exclusive, but they each involve different costs and risks. The central decision is how much Patanjali should change its channel model without undermining the network that has supported its growth.

Segmenting the Market Rather Than Replacing Existing Channels

Instead of choosing between its traditional and digital retailing channels, Patanjali may give different roles to each of them.

While Arogya Kendras may be the channel for relationship building and education, general trade could be the channel of market presence. Modern retail would be the channel for visibility and selection, while quick commerce would be the channel of replenishment. E-commerce would be a channel for bundling and education, while D2C would be a channel of relationship building.

This approach would turn the management question from the one about the allocation of resources and priorities between the channels, to the question of purpose for each channel.

It would also reduce the need for all channels to compete on the same product and price. A customer could use one channel for their regular toothpaste re-purchase, the other for discovering a wellness product at an Arogya Kendra and yet another channel for a repeated purchase of the same toothpaste in the same pack

Price Governance and Arogya Kendra Relevance

Pricing will always continue to pose a very difficult challenge in this strategy. It would make sense for Patanjali to introduce better pricing rules at the channel level, managed promotional periods, better budgeting of promotions, and packaging options. The aim will not have to do with creating equal prices but minimizing the opportunity to tell that one channel has a price advantage over another.

In this case, Patanjali can create a bundle of multiple products instead of cutting down the price of the one tube of toothpaste on the digital channel. This way, it is easy to create a digital offer without changing the price of the single product.

Arogya Kendras have a different challenge because they cannot compete on delivery speed with quick commerce. Their added value will need to be identified from a set of activities where a physical outlet has an advantage.

Improving product presentation, ingredient disclosure, QR codes, sampling, loyalty programmes and tailored recommendations based on customer needs could make stores more useful. Digital orders could also serve as a tool to help the consumer when they cannot find the right product in store. Consultation or wellness activities could be considered where permissible by law and operationally viable. These are recommendations for the case, not an indication of Patanjali initiatives currently taking place.

The overall objective would be to encourage consumers to spend the time visiting an Arogya Kendra, even if the same product can reach their home within minutes.

Implementation Roadmap

The strategy could be executed in three phases.

During the 0-6 month diagnostic phase, Patanjali should assess the economics of its channels by benchmarking revenues, margins, promotional spends, price differentials, overlapping products, retailer feedback and consumer behaviour. It should identify which products are the most price sensitive, and which categories require more education.

The primary consideration at this stage would be that of whether sales through digital means are bringing in new customers or just shifting existing customers to traditional outlets.

For the 6-18 months phase, Patanjali can try out different roles for various channels in some selected urban areas. For example, quick commerce trials can be tried out using certain pack sizes, wellness packages, limited promotions and certain premium products; while Arogya Kendras can try out better educating, sampling, loyalty programs and digital orders. Youth campaigns can try out short videos, ingredient explanations, creator collaboration and product comparisons.

For the 18-36 months phase, Patanjali should scale up only those initiatives which make a positive contribution, bring in genuine customers and have economically viable franchisee business model, repeat purchase and reasonable promotion budget. Sales volume alone would not suffice as criteria for scaling up.

Omnichannel Performance

Patanjali would need to consider a host of factors other than revenue growth when managing this particular model. Channel profitability, promotional spending, customer acquisition and retention, repeat purchase, as well as the health of traditional retail, must all be evaluated.

One metric that could prove particularly useful is channel migration rate. If a customer that used to buy a product at an Arogya Kendra switch to buying that same product on quick commerce, Patanjali should be able to track that.

This is significant since a growth in digital channels is better when it translates into new demand rather than a transfer of an existing demand from one channel to another.

Therefore, the business organization could be considering looking at digital channels both in short term and long term in relation to the value of customers. This will help management establish if the rapid commerce model is responsible for the sustained growth or only transferring sales from one channel to another.

The Decision Ahead

Patanjali enters the next phase of growth with key advantages. It has a large physical network, established retail relationships and strong recognition around Ayurveda. At the same time, consumers are becoming more comfortable with digital shopping, and quick commerce is on the rise.

Patanjali Foods management reported that modern trade, e-commerce, quick commerce and D2C combined for around 12.5% of business in August 2025. [21] Even though it was not yet a significant piece of their total business, quick commerce made up a considerable portion of their digital activities. At the same time, consumers continue to move towards faster and more convenient ways of buying FMCGs. [6] [7]

That gives rise to three main strategic possibilities. First, Patanjali could push for quick commerce and modern retail even though it would put pressure on traditional retailing. Second, it could defend its network and accept slower growth of its digital footprint. Third, it could modify its omnichannel strategy in such a way that each channel would play a different role.

The third choice is the more balanced one because Arogya Kendras could be pillars of education and trust, general trade could give consumers everyday availability, quick commerce could give them convenience and replenishment, modern retail could add visibility and assortment, and e-commerce and direct-to-consumer sales could help create digital relationship with customers.

The difficult part will be the execution. If digital sales will be discounted heavily, the traditional retailers will get upset, and, conversely, if the company will defend the traditional channels too much, it will fail to change consumer behavior. Besides, the awareness of Ayurveda is high now but this does not mean that a young person would pick Patanjali over other alternatives.

The main problem therefore is not choosing between tradition and technology but making them work together. The main question for the management team is whether the brand of Ayurveda, the Arogya Kendras and digital sales could play different roles in the customer journey.

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